MODERN APPRAISERS

AUTO.MOTORCYCLE SPECIALTY

Inherent Diminished Value

Date:
Claim:
File:

Client Name:
Phone:
Vehicle:
VIN:
Mileage:



MODERN APPRAISERS
AUTO, MOTORCYCLE SPECIALTY

ONE-STOP-SHOP
FOR YOUR APPRAISAL NEEDS

Summary

File Number:

Claim Information
Claim Number:
Vehicle Owner:
Address:

Phone:
Email:

Responsible Party Insurance
Ins Co :
Claim Number:
Policy Number:
Adjuster Name:
Phone Number:
E-mail:

Vehicle Information
Vehicle:
Date of Loss:
Mileage:
VIN:
License Plate:
License State:

Evaluation Summary

NADA or K.B.B. "Private Party, Excellent Value":	$ 0.00
Prior Loss Vehicle Adjustments:	$ 0.00
Condition Adjustment:	$ 0.00
After Market Parts Adjustment:	$ 0.00
NADA or K.B.B. "Private Party, Excellent Value" (ACV):	$ 0.00

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Inherent Diminished Value Evaluation

Baseline L.O.V. Calculation:

NADA or K.B.B. "Private Party, Excellent Value":	**$** $0.00
NADA or K.B.B. "Private Party, Fair Value":	**$** $0.00
Variance between "Private Party, Excellent Value" & "Private Party, Fair Value":	**$** $0.00
	$ $0.00

Baseline L.O.V. (Loss of Value):

Damage Severity Modifier:

Damage Severity –

Damage severity adjustment scale
1.00 – Frame replacement, Multi structural panel replacement
0.85 – Extensive Body/Frame Pulls, One structural part replacement, major damage to structure
0.60 – Minor Body/Frame Pulls, Minor damage to structure, Multi bolt on body panel replacement
0.45 – Electrical damage, Mechanical/Suspension damage
0.30 – Exterior body panel repair, One exterior body panel replacement, Multi body panel refinish
0.15 – Cosmetic damage, One body panel refinish

Mileage Modifier

Loss Vehicle Mileage and adjustment percentage **=**

Mileage adjustment scale
1.0 - 0 – 15,000
0.90 - 15,001 – 30,000
0.80 - 30,001 – 45,000
0.70 - 45,001 – 60,000
0.60 - 60,001 – 75,000
0.50 - 75,001 – 90,000
0.40 - 90,001 – 105,000
0.30 - 105,001+

Severity Modifier Loss of Value (L.O.V.):

Base L.O.V.: $0.00 x Damage Severity**:** x Mileage Modifier: = $ 0.00

Additional Adjustments:

(Pre-loss) prior repairs, unrepaired old/unrelated damage over $1,000.00, prior claims, prior accidents, prior damage, prior theft, prior salvage or prior total loss events:

$1.00 Severity Modified L.O.V. times 1% = Adjusted L.O.V. $0.01

Inherent Diminished Value: -$0.01

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Inherent Diminished Value Methodology

In order to determine a vehicle's "Inherent Diminished Value," Modern Appraisers has developed a special and exclusive methodology.

The term "Inherent Diminished Value" describes the value reduction that an automobile experiences even after being extensively and expertly repaired. It is the value reduction brought on by the mere fact that the vehicle was involved in an accident. The term "stigma damage" is another term for this kind of decreased value. As an illustration, the vehicle that has never been damaged is preferred over the one that has been damaged and repaired when two identical vehicles are present on a car lot.

It's crucial to consider all aspects of the vehicle in question when determining an automobile's inherent diminished value rather than relying solely on a pre-established formula. We consider the vehicle's year, make, model, mileage, condition, prior damage that has been repaired but wasn't related to the specific claim, prior damage that hasn't been repaired, and any salvage history. For instance, a vehicle with a salvage title or a history of accidents would not suffer as much "Inherent Diminished Value" from new damage vs. a vehicle who has a clean title history.

Modern Appraisers 5 step process for determining “Inherent Diminished Value”

1- **VIN Check:**

We start will a full VIN check of the vehicle in question. The VIN check searches national database for the following information:

Vehicle Specifications - Up to 22 categories Salvage Events - Salvage auction, junk yard, recycler and dismantler Insurance Total Loss Events - Resulting from severe accident, flood or other events DMV Title History - Current and historical title events Title Brand Events - Title brand history with 75 title brands Current Open Lien/Loan Data - Includes date and financial institution Active Theft Status - Current and recovered theft data Odometer Readings - Multiple sources including Salvage and wholesale vehicle auction histories Minor Accident Data - DMV/state agency reported accidents Impound/Towing Events - Resulting from law enforcement events Online Listing History - Reported by select online listing sites

The VIN check enables us to ascertain whether the vehicle has any additional "Stigma" associated with it that could lower any new Inherent Diminished Value.

2 - Physical Inspection:

With the VIN check report in hand, we conduct a physical inspection of the vehicle (if requested by client) to ascertain its pre-loss condition. This physical examination enables our appraisal expert to see firsthand how the vehicle's body, paint, glass, interior, tires, and mechanical systems were in before the loss. In addition to examining the vehicle's "obvious" condition, we pay close attention to any previous repairs made to it that are not directly related to the claim of diminished value. This would entail examining the vehicle to see if any panels have been repainted, if any obvious body filler has been noticed, if any factory spot welds have been "re-welded," if there are any indications that parts have been replaced and/or misaligned, and/or if there are any other indications that the vehicle has been repaired previously.

3 – Determining Pre-Loss Market Value (ACV):

We determined the pre-loss value of the vehicle using the Kelley Blue Book or NADA value following our physical inspection. We take into account the vehicle's mileage, condition, and options when adjusting the Kelley Blue Book or NADA value. In order to account for any previous damage and any additional non-factory options or improvements the vehicle may have had, we either increase or decrease the Kelley Blue Book or NADA value.

4- Determining the baseline L.O.V. (Loss of value):

Over the years, numerous formulas have been developed in an effort to determine the "baseline" L.O.V. (Loss of Value) on an accident-involved vehicle. These formulas don't offer any authentication, though. By employing the widely accepted Kelly Blue Book or NADA vehicle value "variations scale," Modern Appraisers has kept things simple. When determining the value of a vehicle, Kelly Blue Book or NADA uses a special scale that distinguishes between "Excellent Condition" and "Fair Condition" vehicles. Depending on the year, make, and model, this difference can range from 10% to 35%. Since Kelley Blue Book or NADA derives its values from actual sales transactions, their estimations consider the prices at which vehicles have actually been sold. Additionally, actual vehicles that have been in accidents in the past or may be deemed to be in less-than-ideal condition are included in "Fair" value range. Thousands of Diminished Value appraisals over the years led Modern Appraisers to the conclusion that the value difference between a vehicle in "Excellent" condition and one in "Fair" condition accurately reflects the difference between a vehicle that has never been in an accident and one that has. The baseline L.O.V. for Modern Appraisers is this differential (Loss of Value). We don't stop there, though. After establishing the baseline L.O.V., we adjust up or down, depending on how much damage needs to be repaired.

5- Calculating the Inherent Diminished Value:

In order to account for the type of damage repaired, we start by increasing or decreasing the baseline L.O.V. (Loss of Value). The following is the adjustment scale:

Damage Severity

1.00 – Frame replacement, Multi structural panel replacement
0.85 – Extensive Body/Frame Pulls, 1 structural part replacement, major damage to structure
0.60 – Minor Body/Frame Pulls, Minor damage to structure, Multi bolt on body panel replacement
0.45 – Electrical damage, Mechanical/Suspension damage
0.30 – Exterior body panel repair, 1 exterior body panel replacement, Multi body panel refinish
0.15 – Cosmetic damage, 1 exterior body panel refinish

If applicable, we adjust once again depending upon several additional factors.

We will reduce our Inherent Diminished Value Appraisal in the amount of…

-15% if we observe any (pre-loss) prior repairs or any unrepaired old/unrelated damage over 1,000.00 upon our physical inspection, as the vehicle has previously incurred Inherent Diminished Value.
-30% if the VIN check reveals prior claims, prior accidents, prior damage, prior theft, prior salvage title or prior total loss events as the vehicle has previously incurred, publicly documented, Inherent Diminished Value. An additional 15% will be applied when multiple occurrences are identified.

When a vehicle suffers damage, the resale market for vehicles is particularly vulnerable to a drop in value. This is due in part to the fact that some auto damage is difficult to detect, and buyers on the used market worry that a damaged vehicle will later develop new issues.

Even if the vehicle is fully repaired after damage, it almost always has a lower resale value; therefore, decrease in value damages are almost always appropriate.

Depreciates on the secondary market after structural damage and repairs. Selling damaged vehicles can be incredibly difficult.

The vehicle still has a history of damage and repairs, even when they are done correctly in accordance with a particular vehicle manufacturer's standards. Potential buyers can easily access information about the vehicle thanks to web-based vehicle checks like Carfax and AutoCheck. Additionally, the seller has a legal obligation to reveal the history of the vehicle's damages to the buyer.

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